BlackBerry phone anymore; I want an iPhone. RIMM was worried that if they didn't come out with competition for the iPad 2, they would lose the corporate market. But what they have done is guarantee that they will lose the corporate market by undermining every company IT manager who argued for maintaining the BlackBerry over the iPhone. What RIMM has done is taken a knife and driven it through the heart of their business.

I interviewed Taylor on April 30, 2011. On the previous day, Apple had closed at $350 and RIMM at $49. By the time I was proofing this text in the production process less than 11 months later (March 19, 2012), Apple was at $601 and RIMM under $15.

How do you pick shorts?

Shorts are more difficult. On the long side, I like companies that are cheap relative to their sector, but where I expect positive earnings surprises during the next few years. So turning that around, ideally, I would like to go short companies that are expensive relative to their sector and where I expect profit warnings over the next few years. The problem is that these bad companies have the greatest risk of being takeover targets. The emerging markets are full of sectors where multinationals want exposure, and the only companies they can generally take over are bad companies. In emerging markets, in order to take over a company, you need to triangulate between the company, the government, and the regulator. It is much more difficult for a foreign firm to get government or regulator approval for a takeover of a local company that is doing well, or about to do well, because the authorities will fear being seen as "selling out" to foreigners. Whereas if it is a bad company, the government and regulators are much more likely to approve the acquisition because it will be seen as saving the company and saving jobs. You can be long a good stock at seven times earnings and short a bad stock at 15 times earnings, and some stupid foreign company comes along and pays a 50 percent premium to buy the bad company.

So how do you walk that tightrope when the companies you most want to short are the ones most vulnerable to a takeover?